connecting the minor lows. There are a number of touches of both trendlines, suggesting a reliable chart pattern.

The volume pattern begins in the typical manner—receding. However, about two-thirds of the way to the breakout, the pattern changes. Volume gets heavier as if building pressure for an upcoming release. Then, mysteriously, volume subsides when price moves horizontally just below the top trendline for over a week (in June). When price pierces the top trendline, volume picks up but not remarkably so. Volume just builds on the expanding trend that is developing since price began sliding along the trendline top.

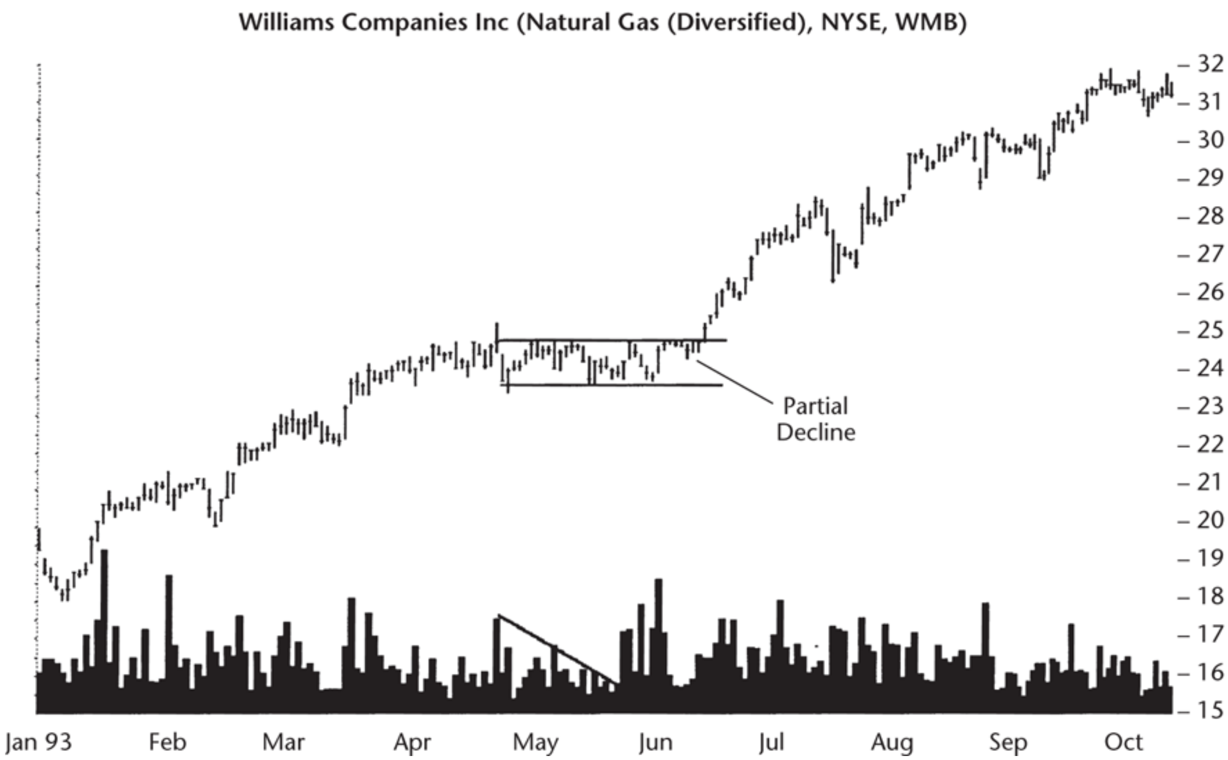

Figure 52.1 Rectangle top with an upward breakout performs well in this uptrend.

Price climbs away from the rectangle in this example. There is a slight, 3-day dip in late June when it looks as if price is trying to throw back to the formation top, but buying demand is just too strong. Price changes its mind and turns around to continue up.

Why do rectangles form? A rectangle chart pattern is a struggle between the haves and the have-nots. Those who own the stock but want to sell have